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“Banks prefer external valuers [for gold] as they are certified... and have experience in evaluating gold ornaments. Therefore, making use of the professional services of valuers is a better option”

not suffer and the lender also recovers money. So, at the time of the auction, one needs to look at what is sold and at what value. Is it fair? What charges are being levied? Whatever surplus money was left, is it returned to the borrower?” says KPMG’s Doshi.

THE GOLD LOAN BOOM

What next for the segment? Without a doubt, there has

been a boom in the gold loans market in recent years. Right now, the gold loan market is sitting pretty at over ₹6 lakh crore (including agricultural gold loans), compared to just ₹2 lakh crore in FY13. That’s a CAGR of 11.8% over the last decade. Impressive as that is, growth has been even better since the outbreak of Covid-19, with a CAGR of 22.7% in the three years to FY23.

And, the potential seems endless in this segment if you consider the fact that almost every Indian household has some gold lying around. So much so that India’s gold holdings total a mind-boggling 27,000 tonnes, valued at \$1.5-2 trillion. Only 7% of that has been pledged as collateral for loans. “People tend to think of gold as a family heirloom, but it can do so much more. Whether it’s an emergency or a dream you’re chasing, gold can be your secret weapon,” says Jadhav.

According to a report by brokerage firm Nirmal Bang, at the average market price of ₹62,219 per 10 gm of gold in December 2023, monetising even 20% of the gold stock in the form of a loan at a 70% LTV ratio is expected to lead to a ₹24 lakh crore market opportunity for financiers.

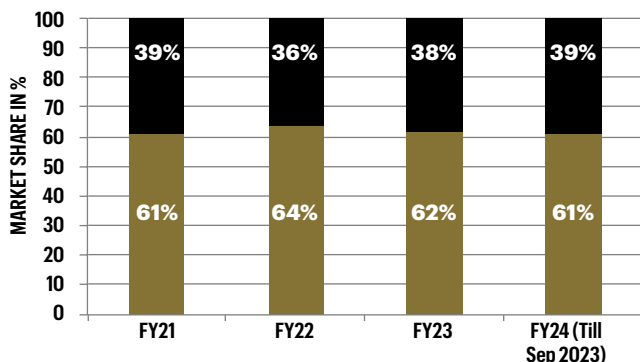
Add to that the fact that gold has been on a roll in 2024, touching an all-time high of more than ₹73,000 per 10 gm—an increase of nearly 21.1% in just one year between April 18, 2023, and April 18, 2024—and you suddenly realise that the gold you hold can fetch that much more if pledged.

49

LOAN ORIGINATORS

- Market share of NBFCs has remained steady
- Banks, too, have sharpened focus on non-agri gold loans

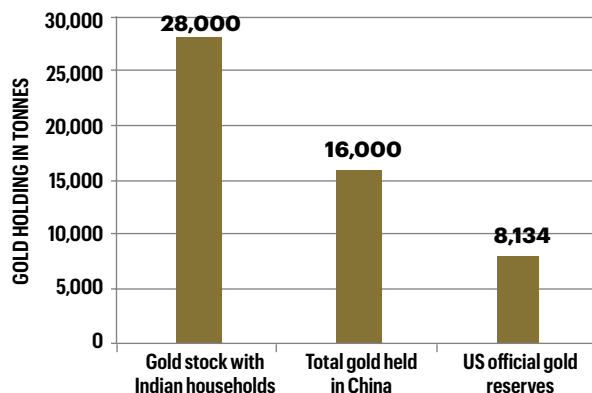
● NBFCs ● BANKS (NON-AGRI)



SOURCE CRISIL RATINGS

WORLD LEADER

- Gold holdings in India are more than China and the US combined
- China’s holdings are just 57% of India’s



SOURCE NIRMAL BANG